Hut 8 (HUT)

3Q26 | 5 November 2026 | Earnings Brief | Post-call version | Josh, with Trevor and Scott

1 Executive snapshot

Consensus thesis. Investors own Hut 8 as the best-financed listed AI landlord (949 MW on 15- to 17-year triple-net leases, $7.5bn of non-recourse investment-grade bonds), and doubt sector funding and how Beacon Point Phase 2 gets paid for.

Thesis status. Monitoring

Versus expectations. Quarter: revenue miss, $71.1mn against $75.5mn to $76.5mn (-6% to -7%); diluted EPS $0.98 against about -$0.75, entirely bitcoin marks. Outlook in line: delivery dates held, no new lease, Phase 2 funding still open.

Biggest changes. (1) Texas is the new risk: Beacon Point's baseload designation depends on a state audit, with results expected 10 December and final 17 December; management anticipates an unconditional classification, with 700 MW energization in 1Q27. (2) Phase 2 financing has no date: it follows the December result. The Phase 2 lease was extended from 15 to 17 years to help offset potentially higher financing costs. (3) The buyback was walked back in tone: 'we do not plan to continue to buy aggressively' and no revolver for buybacks, after $250mn at about $74.88 a share against a $48.94 close on 4 November. (4) Free parent bitcoin is thinner than it looked: 1,361 unencumbered BTC at 1 November (about $107mn at $78,265) against about 6,200 parent BTC derived in our pre-call note. (5) Management says the current build approach, 'NASA rocket programs', will not work at multi-gigawatt scale; existing projects stay on plan and design efficiency should offset rising cost, with no figure.

Investor takeaway. The consensus view should turn more cautious on funding and on Texas, though not on contracts: project bonds and construction hold, but Phase 2 waits on a December state decision, free parent liquidity is smaller after the buyback, and the stock's 23% fall on 4 November says the market has already moved.

Monitor next quarter. (1) 17 December Texas result and any 1Q27 energization change. (2) Phase 2 financing: size, loan-to-cost, coupon, and any parent equity. (3) Parent liquidity against the revolver test from 1Q27, and retirement of the $200mn FalconX loan before April 2027.

Pillar scorecard

Pillar	What the quarter showed	Verdict
P1 Halls deliver on schedule	All dates kept; over 1,200 on site at River Bend; Phase 1 ground improvements about 95%, steel starts this month	Confirmed
P2 Tenant credit is IG	Fluidstack with Anthropic as end user and Broadcom and Google in the credit profile; AA- per prior disclosure, not repeated. No analyst tested it	Unresolved
P3 Growth without common equity	No more equity expected for River Bend or Beacon Point (no phase limit stated, and not tested by analysts). Phase 2 unpriced; lease lengthened to 17 years to offset cost; 'other avenues' unspecified	Challenged
P4 Pipeline converts to leases	No new lease; 6.4 GW in diligence and exclusivity; 184 acres cleared for River Bend expansion; counterparty not disclosed	Unresolved
P5 Bitcoin is a funding reserve	About 3,100 BTC sold for the buyback; 1,361 BTC unencumbered at 1 November	Challenged

Key KPIs

Metric	This qtr	Prior qtr	Same qtr last year	QoQ / YoY flag
Revenue ($mn)	71.1	74.9	83.5	[↓] -5.1% / -14.9%
Compute revenue ($mn)	68.4	72.5	70.0	[↓] -5.7% / -2.3%
Adjusted EBITDA ($mn)	33.0	10.4	30.5	[?] new definition, ex BTC marks
Adj. EBITDA incl. BTC marks ($mn)	350.3	n.a.	109.0	[?] marks
Net income to Hut 8 ($mn)	131.1	n.a.	50.1	[?] marks
Interest expense ($mn)	105.5	60.4 (H1)	8.6	[↓]
Interest income ($mn)	61.8	27.1 (H1)	nil	[↑]
Cash ($mn)	156.9	233.6	n.a.	[↓] -33%

Metric	This qtr	Prior qtr	Same qtr last year	QoQ / YoY flag
Restricted cash and investments ($mn)	6,394.5	6,787.1	n.a.	[↓] -6% as spent
Loans and notes, book ($mn)	7,631.5	7,638.4	n.a.	[~]
Contracted IT MW	949	597	n.a.	[↑] Phase 2 signed July
Pipeline MW	7,859	8,660	n.a.	[↓] -9.2%

Guidance

Metric	Guidance	vs. prior
River Bend first hall	2Q27	Maintained
Beacon Point Phase 1	3Q27	Maintained
Beacon Point Phase 2	2Q28	Maintained
Average annual NOI	More than $1.75bn	Maintained
Buyback authorization	$1.0bn	Raised $750mn

Top risks

Texas designation: Beacon Point depends on 17 December; 700 MW energization expected 1Q27

Phase 2 funding: $9.8bn lease, no price or date; a longer lease used to offset cost

Parent liquidity: 1,361 free BTC, $156.9mn cash, $428mn test from 1Q27 (definition not read); revolver undrawn; FalconX $200mn to retire before April 2027

Analyst focus

Questions centered on Texas, pipeline and cost; answers were mostly partial. Gravett (UBS) asked directly about Phase 2 and permits and got no date. — Trevor

Monitoring

5 signals: 17 December Texas result; Phase 2 financing; revolver draws; free BTC; new lease. Key risks building: Texas; parent cushion; concentration. Confirmation signals: Unconditional classification, then a Phase 2 bond near Phase 1 terms with little parent equity. Conviction tripwires: Conditional or delayed Texas result; revolver drawn for anything but projects; more buybacks before Phase 2 prices; a slip at River Bend.

Read-across for Kona

Hut 8 gave more term, not more rent, to help the bond math: a 15 to 17 year lease is a tool Kona can ask for at small scale. It is also buying energized West Texas sites from a bankruptcy process at up to about $0.78mn per utility MW, a floor for bare energized power, and on the call it said capital scarcity is producing such assets. The Texas audit shows how a state decision can hold up an investment-grade financing; Kona should list Neuquen and national permits as conditions precedent lenders will price, and line up lenders before signing.